

$$\hat{\beta}_1 \sim \text{norm}(\beta_1, \sigma^2/s_x^2)$$

$$\hat{\beta}_0 = \bar{y} - \hat{\beta}_1 \bar{x}$$

$$\hat{\beta}_1 = \frac{\sum (x_i - \bar{x})(y_i - \bar{y})}{\sum (x_i - \bar{x})^2}$$

$$T_{n-2} \sim s_x \frac{\hat{\beta}_1 - \beta_1^*}{\sigma'}$$

$$\frac{\hat{\beta}_1 - \beta_1^*}{\sigma'/s_x} \sim t_{n-2}$$

$$s_x = \left(\sum_{i=1}^n (x_i - \bar{x})^2 \right)^{1/2}$$

$$\sigma' = \left(\frac{s^2}{n-2} \right)^{1/2}$$

$$s^2 = \sum_{i=1}^n (y_i - \hat{\beta}_0 - \hat{\beta}_1 x_i)^2$$